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Reversing Entries

Definitions

⇒ Reversing entries is not mandatory step. It is optional.

- Based on adjusting entries.
- Recorded in the books on the first day of new accounting period.

⇒ if an adjusting entry caused an increase in asset or liability, that adjusting entry may be reversed, otherwise, must not be reversed.

How or which?

⇒ Following entries make reversing only:

- Any prepaid / Receivable → Dr in Adjusting entries.
- Any unearned / payable → Cr in adjusting entries.

What cannot be reversed?

- Depreciation
- Merchandise
- Bad debts

cannot be reverse.

Reversing entries

Example: MUNTAHA & Co

General Journal (Adjusting Entries)

Date	Details	Dr	Cr
1	Merchandise inventory	60,000	
	Income summary		60,000
2	Rent Exp	2,000	
	Rent payable		2,000
3	Dep exp	4,000	
	Allowance for dep		4,000
4	Insurance exp (48,000 x 8/12)	32,000	
	prepaid insurance		32,000
5	Allowance for bad debts	1,000	
	Capital		1,000
6	Taxes Exp	2,000	
	Taxes payable		2,000
	Office supplies exp	1,050	
7	Office supplies		1,050
	Unearned commission	10,000	
8	Commission income		10,000
9	Debiting	2,000	
	Cash		2,000
	Prepaid Advertising	2,000	
10	Advertising exp		2,000

MUNTAHA & CO

Solution: General ledgers (Reversing entries)

Date	Detail	Dr	Cr
1	cannot be reversed		
2	Rent payable	2,000	
	Rent exp		2,000
3	cannot be reversed		
4	cannot be reversed		
5	cannot be reversed		
6	Taxes payable	2,000	
	Taxes exp		2,000
7	cannot be reversed		
8	cannot be reversed		
9	cannot be reversed		
10	Advertising exp	2,000	
	prepaid advertising		2,000